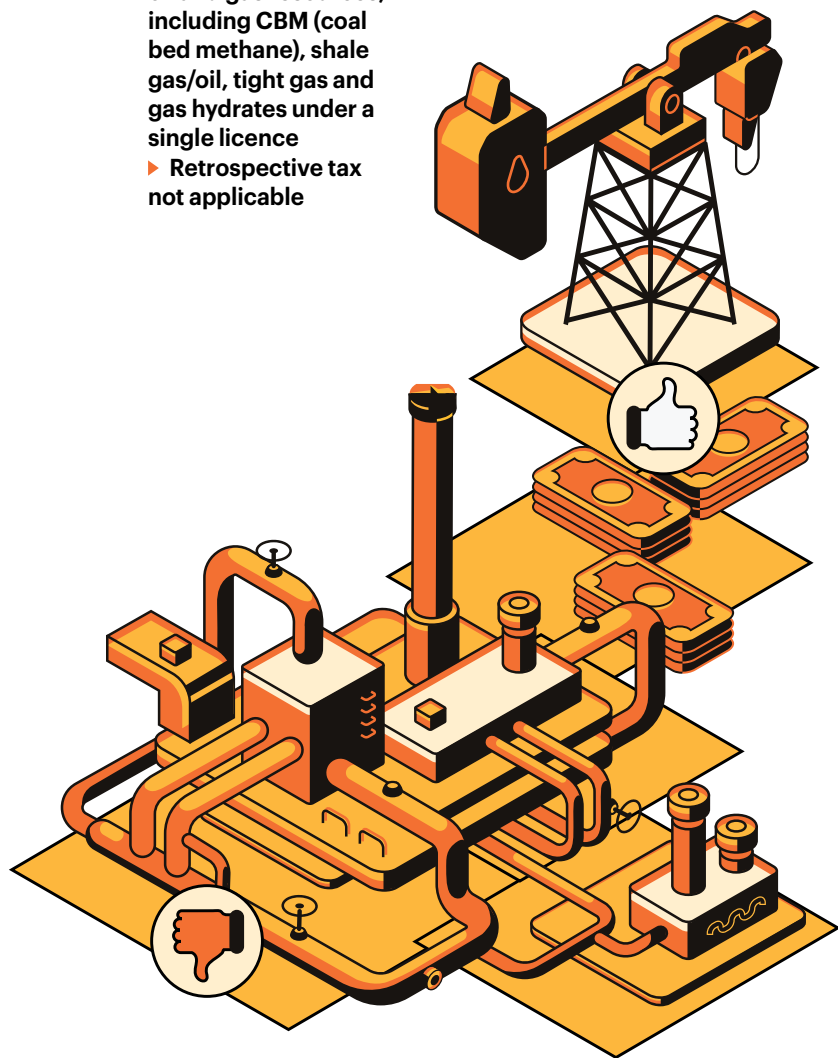


and more pricing freedom

- ▶ An open acreage policy with a uniform licence allowing firms to pick conventional as well as unconventional oil and gas resources, including CBM (coal bed methane), shale gas/oil, tight gas and gas hydrates under a single licence
- ▶ Retrospective tax not applicable



MISSES

- ▶ Increased capital risk as government will receive a share of gross revenue from sale of oil and gas with no concern for the cost incurred

- ▶ Discouraged companies from high-risk exploration in deep sea and ultra deep sea resources
- ▶ Commercial viability remains a key concern; no foreign player participated

NOTE NELP IS NEW EXPLORATION AND LICENSING POLICY, HELP IS HYDROCARBON EXPLORATION LICENSING POLICY

SOURCE MoPNG

up fast. India imports nearly 4.9 million barrels of oil per day. At \$100 per barrel, this comes to \$490 million per day. Clearly, not sustainable. If crude oil touches \$150 a barrel, or even \$200 a barrel, due to the war in West Asia, as some experts are predicting, it will be devastating for India's current account deficit, the rupee and, of course, households. It's a ticking time bomb.

But what is holding India back from tapping its oil and gas resources? **One factor, say experts, is geological complexities, which increase cost.** The biggest is poorly designed policies. Several attempts to attract private capital—right from the late 1990s to the present day—have had minimal success. The efforts have been mired in corporate rivalries and court cases, some involving the government, running for decades.

"This sector is among a few that have no government protection or incentive like PLI. To unlock India's full potential, we need more exploration. Today, there are hardly 200 active licences in India when there should be 2,000," says Vedanta Ltd Founder and Chairman Anil Agarwal, who has been a vocal critic of India's mineral policies. Vedanta is a leading global producer of metals, critical minerals, oil & gas, power and technology.

With the war in West Asia hitting energy supply chains—the choked Strait of Hormuz accounts for half of India's crude oil imports—the government has woken up to the need for more *atmanirbharta* in oil and gas. It has taken some steps recently to attract private capital in exploration and production (E&P) such as uniform licensing and lower royalty rates. While launching the XIth exploration round for 21 blocks recently, it also assured investors that it will not nationalise oil fields or dilute the rights of operators without giving them a fair compensation. These assurances will also apply for the Xth round, launched last year. Can these work, considering India's past failures to attract capital in oil and gas exploration?

THE EXPLORATION JOURNEY

India depends on imports for 88% of its crude oil, up from 65% in the 1980s—and it's not for want of trying. In fact, post-Independence, India's first Industrial Policy Statement of 1948 called for giving top priority to hydrocarbon exploration. Until 1955, exploration was mostly